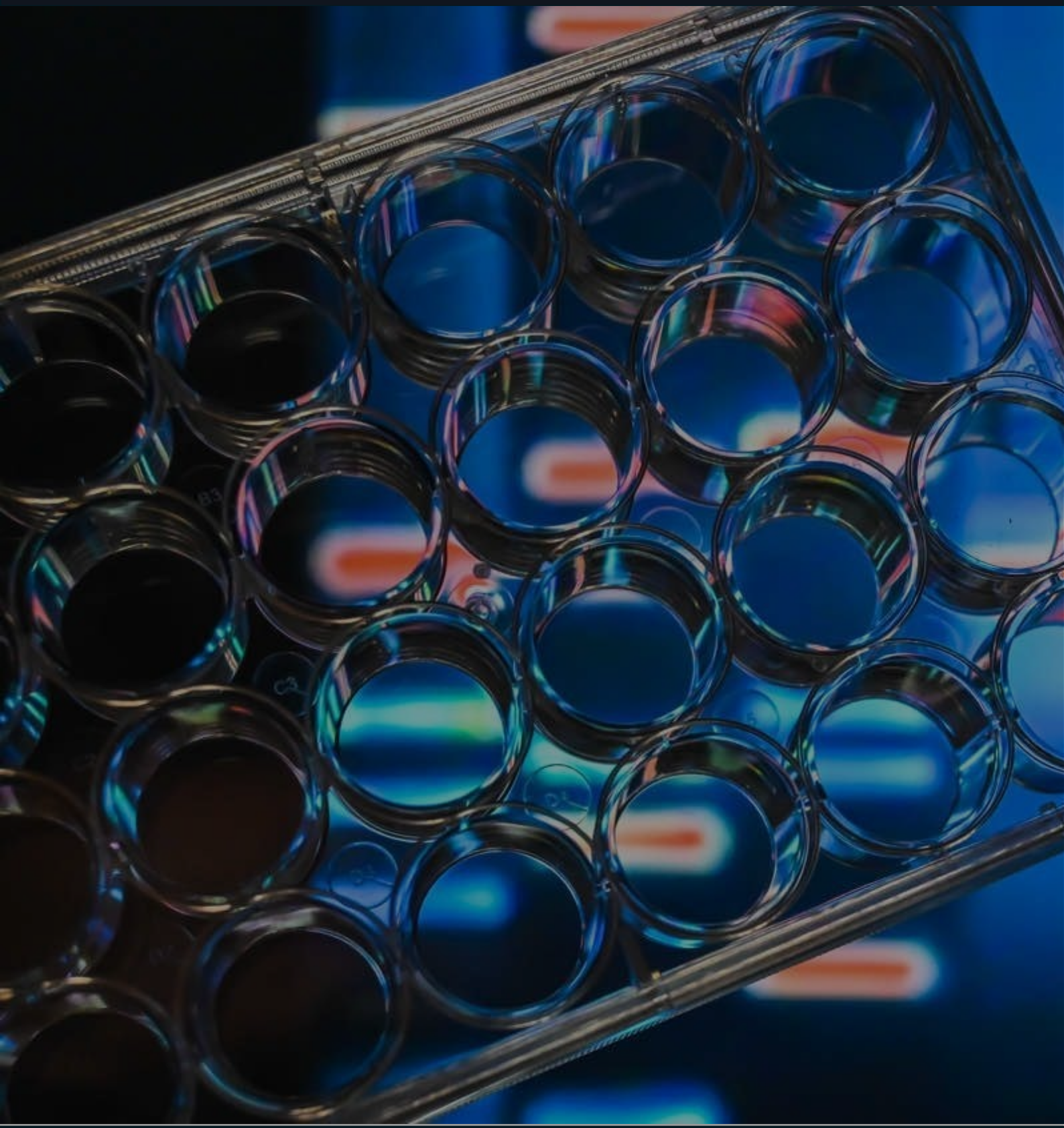


PHARMACEUTICALS · STRATEGIC ANALYSIS

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The Compliance Countdown

Two designation tracks. Four regulatory clocks. One planning window

The Compliance Countdown

Two Designation Tracks, Four Regulatory Clocks, and What Western Pharma Must Do Before They Expire

The BIOSECURE Act became law on December 18, 2025. Without specifically naming any companies, it nevertheless creates two separate regulatory tracks: one for the Department of Defense (styled the Department of War since September 2025), and another for the Office of Management and Budget, that determine which Chinese biotechnology firms become prohibited counterparties for federal contracts and grants, and when that prohibition takes effect. WuXi AppTec, the world's largest contract research, development and manufacturing organization (CRDMO), was added to the DoD Section 1260H list on June 8, 2026, and that listing has since been preliminarily enjoined. It has not been designated a biotechnology company of concern (BCC) under either track. The litigation is not a reprieve. It is a planning window, and the WuXi case shows that customers react to a listing long before any prohibition takes effect.

This report is not investment advice. It is intended for professionals operating at the intersection of trade policy, geopolitics, and supply chain strategy.

Executive Summary

The BIOSECURE Act creates two regulatory clocks running simultaneously, with one governing designated firms, and the other governing their downstream customers. WuXi AppTec, listed under Section 1260H in June 2026, with that listing enjoined in August and no BCC designation yet, is the case study that illuminates both designation clocks. Which clock a firm is on determines its planning window. The WuXi case shows that the commercial clock runs ahead of both: some customers moved within weeks of a listing that carried no legal prohibition, even as WuXi's aggregate revenue and U.S. share kept rising.

- **The BIOSECURE Act is law**. Enacted December 18, 2025 as Section 851 of the FY2026 National Defense Authorization Act (NDAA) (P.L. 119-60), it prohibits federal contracts and grants with "biotechnology companies of concern" (BCCs) and — critically — with any entity that uses BCC services in performing federal work.
- **No companies are named in the statute.** Designations flow through two executive-branch tracks: the annual Department of Defense (DoD) Section 1260H list (faster, 60-day Federal Acquisition Regulation [FAR] trigger; pre-listing notice now constitutionally required) and an Office of Management and Budget (OMB) criteria-based process (slower, 90-day FAR trigger, notice-and-response rights). WuXi AppTec has not been designated a BCC under either track; its 1260H listing, the predicate for the first track, is preliminarily enjoined.
- **WuXi was listed, and the listing was then enjoined**. After a February 2026 list naming WuXi was published and withdrawn, DoD added WuXi AppTec to the list released June 8, 2026. On August 7, 2026, the U.S. District Court for the District of Columbia preliminarily enjoined DoD from giving effect to the listing (No. 1:26-cv-02069). The order does not bind OMB, which can still designate WuXi under Section 851(f)(2)(B) on its initial list due December 18, 2026.

- **The prohibition is not yet in effect**. FAR revision is required before prohibitions bite. The OMB initial BCC list is due December 18, 2026. FAR revision would follow around mid-2028 if agencies use the full statutory periods; no OMB guidance or proposed FAR rule had appeared as of October 2026. Grandfathering of pre-existing contracts may extend compliance windows to approximately mid-2033.
- **A third clock is in force, but with narrower effect than its headline rate suggests.** Proclamation 11020 (April 2, 2026) imposes Section 232 duties of 100% on imported patented pharmaceuticals and their ingredients, applied from July 31, 2026 to companies listed in Annex III and from September 29, 2026 to all others. The rate is 20% for companies with Commerce-approved onshoring plans and zero, until January 20, 2029, for those that also have MFN pricing agreements. Products of the EU, Japan, Korea and Switzerland pay 15%; generic and U.S.-origin products are not covered, and clinical and research supplies are exempt. The regime operates independently of BIOSECURE, but for large companies with MFN agreements its near-term cost is zero.
- **Downstream exposure is real and broad.** The Act covers federal contractors, subcontractors, and federal grant recipients. A knowledge standard applies to new contracts; ongoing use in performance triggers prohibition per se. Academic institutions receiving NIH grants face exposure when purchasing BCC equipment or services with federal funds.
- **WuXi's U.S. revenue paradox.** U.S. customers generated RMB 31.25 billion (about $4.35 billion) in 2025, up 34.3% and about 72% of continuing-operations revenue. Bloomberg reported a 77% share for the first half of 2026, when total revenue grew 38.9% and WuXi raised its full-year guidance. The listing has not yet dented aggregate demand. The company is simultaneously building non-China capacity in Singapore, Delaware, Ireland, and Switzerland even as its U.S. dependency deepens rather than diminishes.

Dec 2026	~mid-2028	72%	~2033
OMB initial BCC list due	Projected FAR revision (full statutory periods)	WuXi AppTec U.S. share of continuing-operations revenue (2025)	Maximum grandfathered contract end-date

1. The BIOSECURE Act: Law Now, Prohibitions Later

The BIOSECURE Act was enacted as Section 851 of the FY2026 NDAA (P.L. 119-60), signed by President Trump on December 18, 2025. This was not a standalone passage. The original 118th Congress bills — S.3558 and H.R.8333 — expired in January 2025. A 119th Congress Senate amendment (S. Amdt. 3841, Hagerty-Peters) to the FY2026 NDAA passed October 9, 2025, survived conference, and became law.

The enacted version differs fundamentally from the drafts that were circulating in 2024 and which attracted intense industry opposition and constitutional challenge. No companies are named in the statute. Designations flow entirely through executive-branch processes — removing the bill-of-attainder constitutional vulnerability that plagued earlier versions. Three prohibitions apply once BCCs are designated and the FAR is revised.

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The Three Prohibition Provisions

Section 851(a)(1) bars executive agencies from procuring biotechnology equipment or services from a designated BCC. Section 851(a)(2) bars agencies from contracting with any entity that uses BCC services in performing a federal contract — this is the downstream cascade provision that sweeps in contractors, subcontractors, and sub-tier suppliers. Section 851(b) extends both prohibitions to federal grants and loans, directly exposing universities and research hospitals that receive NIH, DoD, or HHS funding.

The definition of "biotechnology equipment or service" is exceptionally broad: any equipment, instrument, apparatus, device, software, firmware, data storage, transmission, consulting, or disease detection service used in research, development, production, analysis, or detection of information relating to biological material. This definition has not been narrowed by subsequent rulemaking and will not be until OMB issues implementing guidance.

Disputed: The Grandfathering Scope

Most practitioners who have published detailed analyses of the BIOSECURE Act read Section 851(c)(3)(A) as denying the five-year safe harbor to entities already on the 1260H list at enactment (December 18, 2025). On that reading, BGI Genomics, MGI Tech, and FGI would face prohibition 60 days after FAR revision, with no wind-down period. A minority reads the provision more broadly. The question remains unresolved: neither OMB guidance nor a proposed FAR rule had addressed it as of October 2026.

2. Two Designation Tracks: Why WuXi Is on OMB Time

The BIOSECURE Act creates two pathways to BCC designation, with different speed, process, and legal consequences. Which clock a firm is on determines its planning window. WuXi AppTec is on OMB time for now: its 1260H listing is enjoined, so the faster track is closed to it, which gives it a window to reposition.

DoD Section 1260H Track: Fast, but Now Subject to Due Process

The DoD Section 1260H list of Chinese military companies, updated annually, contained 134 entities as of January 2025 and 188 after the update released June 8, 2026 (91 FR 35189, June 10, 2026). Three BGI Group entities were listed in January 2025: BGI Genomics, MGI Tech, and Forensic Genomics International (FGI). The June 2026 update added WuXi AppTec and Novogene and lists Complete Genomics as a BGI Group subsidiary; WuXi Biologics and WuXi XDC are not listed. Under Section 851, a 1260H entity becomes a BCC if OMB separately determines it is involved in biotechnology — a procedural step that earlier drafts skipped. Once designated, the prohibition takes effect 60 days after FAR revision, with no public comment period. Since Hesai Technology v. DoD (D.C. Cir. 2026), DoD must give a company notice, disclose the unclassified evidence it relies on, and allow a response before finalizing a listing.

On February 13, 2026, the Pentagon published an updated 1260H list in the Federal Register that included WuXi AppTec — categorized as indirectly owned by SASAC and indirectly affiliated with the PLA — alongside Alibaba, Baidu, BYD, and 20 other companies. The list was withdrawn within approximately one hour, reportedly at the request of the Pentagon's Privacy, Civil Liberties and Transparency Directorate, with no official reason given. The February 2026 incident followed a December 2025 letter from four congressional committee chairs urging DoD to add WuXi AppTec, WuXi Biologics, and WuXi XDC. It followed a Deputy Defense Secretary letter in October 2025 identifying WuXi AppTec as meriting addition. The withdrawal proved temporary. DoD added WuXi

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AppTec to the list released June 8, 2026, citing indirect ownership by SASAC and indirect affiliation with SASTIND and the PLA. When that rationale was tested in court, it failed on the evidence (see Section 6), which suggests the February withdrawal may not have been purely political.

188	Jun 2026	60 days	Aug 2026
Entities on 1260H list (June 2026)	WuXi AppTec added to 1260H list	1260H → BCC FAR trigger timeline	WuXi listing preliminarily enjoined

OMB Criteria-Based Track: Slower, More Procedural, with Notice Rights

For entities not already on the 1260H list, designation requires satisfying all three OMB criteria: (1) subject to the governance or control of a foreign adversary government; (2) involved in biotechnology equipment or services; and (3) posing a national security risk through ties to foreign military or intelligence services, provision of multiomic data to a foreign adversary, or collection of multiomic data without informed consent. A firm meeting these criteria receives written notice of proposed designation, the criteria and information relied upon, and a 90-day window to submit opposing arguments. OMB must then issue a final determination. Prohibition takes effect 90 days after FAR revision.

The initial BCC list is due December 18, 2026 — one year after enactment. OMB implementing guidance follows within 180 days of BCC list publication, meaning by about mid-June 2027 if the list issues on its deadline. FAR Council revision takes up to one year after guidance. Based on maximum statutory timelines, the OMB track would produce prohibition effectiveness around August–September 2028; agencies could move faster, and deadlines can slip. No OMB implementing guidance or proposed FAR rule had been published as of October 2026. A listed entity may petition OMB for removal under Section 851(f)(7), and OMB must respond within 90 days.

The Precision Point: WuXi's Track Determines Its Window

WuXi AppTec is on the DoD 1260H list, but DoD is enjoined from giving effect to that listing while the case proceeds. Unless DoD prevails on appeal or on the merits, or relists WuXi on a properly reasoned record, BCC designation must come through the slower OMB track — which includes notice-and-response rights, a 90-day opposition window, and a longer FAR revision timeline. This procedure gives WuXi AppTec time to contest designation and complete its non-China capacity buildout. It does not protect WuXi's customer relationships: the court found that customers paused, cancelled or redirected work within weeks of the listing, with no legal prohibition in force.

3. WuXi′s Repositioning: Geographic Hedge, Not Clean Break

WuXi AppTec′s response to the BIOSECURE Act is a dual strategy: accelerate global capacity buildout to offer clients a non-China service option, while simultaneously growing U.S. revenue as fast as possible during the window before designation and FAR revision bite. The first is a hedge. The second is a calculated bet that U.S. client dependency will make designation politically costly.

The Non-China Capacity Buildout

Singapore is the anchor. WuXi AppTec broke ground on a 50-acre, seven-plant campus at Tuas Biomedical Park — a SGD 200 million (~$143 million) initial investment for small-molecule API,

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oligonucleotide, and peptide manufacturing, with first operations expected in 2027 (WuXi's May 2026 update gives 2027 for API manufacturing but 2028 for the first TIDES plant). WuXi Biologics is building a separate $1.4 billion CRDMO center at the same park with 120,000 liters of biologics capacity, targeted for 2026. In the United States, WuXi STA's $510 million oral solid dosage and injectables campus in Middletown, Delaware, will be operational from Q4 2026 (oral) and Q4 2027 (injectables); in June 2026, after the listing, the Delaware governor's office said it was unaware of any development that would prevent the facility opening on schedule. In Europe, WuXi Biologics's Dundalk, Ireland facility (€325 million, 48,000 liters) is fully EMA-approved as of August 2025 — the anchor non-China biologics site. The Couvet, Switzerland oral solid dosage facility doubled capacity in 2025, and a new spray dryer there is due in Q4 2026.

In the Middle East, WuXi AppTec signed strategic MoUs with NEOM and the Saudi Ministry of Health in October 2025 to explore CRDMO facilities at Oxagon, NEOM's advanced manufacturing city. WuXi Biologics signed a separate MoU with Qatar Free Zones Authority in December 2025 for a Gulf biologics CRDMO center. Both remain at MoU stage — no committed capital, no construction timeline, no binding agreements. The strategic rationale for Middle East CRDMO capacity as a geographic hedge for Western clients has been complicated by the 2026 Hormuz crisis: the Strait of Hormuz has been largely closed since U.S. and Israeli strikes on Iran began on February 28, 2026, and Iran said on October 4 that it would remain closed until its conditions are met. The effect differs by site. A Qatari facility would depend on the Gulf shipping lane. NEOM's Oxagon sits on the Red Sea; NEOM paused The Line in May 2026 but is keeping Oxagon active, and Oxagon's port has gained importance because of the Hormuz closure. We found no public update on either MoU as of October 2026. The case for a Qatar site has materially weakened; the case for Oxagon depends less on Hormuz than on NEOM's own retrenchment.

The Divestiture Side of the Strategy

WuXi AppTec has simultaneously shed non-core Chinese assets. The company sold WuXi Clinical and WuXi MedKey to Hillhouse Capital for approximately RMB 2.8 billion (~$390 million), divested WuXi ATU (now Minaris Advanced Therapies under Altaris PE), sold WuXi Vaccines Ireland to Merck for €500 million (~$545 million), and sold its Leverkusen, Germany facility to Terumo for €150 million (~$165 million). The WuXi XDC antibody-drug conjugate unit has been partially demerged. The net effect is a smaller, more focused, CRDMO-pure entity — better positioned to argue it does not meet the OMB national security criteria, and more credible as a counterparty for clients seeking geographic optionality.

The Revenue Paradox Does Not Resolve Itself

WuXi AppTec's U.S. revenue grew 34.3% in 2025 to approximately RMB 31.25 billion (about $4.35 billion), representing about 72% of continuing-operations revenue (RMB 43.42 billion, about $6.0 billion). The TIDES business (oligonucleotides and peptides, predominantly U.S.-driven) grew 96% year-over-year. In the first half of 2026, total revenue rose 38.9% to RMB 28.90 billion (about $4.2 billion), and WuXi raised its 2026 guidance from 18–22% to 35–39% growth in continuing operations. Bloomberg reported that U.S. customers accounted for 77% of first-half revenue. The half included only three weeks after the June listing, so third-quarter results will be the first real test; so far, individual customers have left while aggregate demand has accelerated. Every quarter of growing U.S. revenue deepens the transition cost for WuXi's clients and strengthens the political argument that abrupt decoupling harms patients. This dynamic cuts both ways: it is WuXi's best lobbying argument and its greatest vulnerability if designation finally comes.

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4. Downstream Contractor Exposure: Who Gets Caught and Under What Conditions

The most underappreciated provision of the BIOSECURE Act is Section 851(a)(2) — the downstream contractor prohibition. It does not merely bar federal agencies from contracting with designated BCCs. It bars agencies from contracting with any entity that uses BCC services in performing a federal contract. This sweeps in every pharmaceutical company, CRO, CDMO, academic medical center, and research institution that sits between a federal contract and a WuXi service anywhere in its supply chain.

The Knowledge Standard — What It Requires

Section 851(a)(2)(B) applies an actual knowledge standard to new contracts: an agency may not contract with an entity that enters a contract the entity knows will require use of BCC services. Congress removed "knows or has reason to believe" from the final text — a significant industry win. However, Section 851(a)(2)(A) operates as a per se prohibition on ongoing use: if an entity simply uses BCC equipment or services in performing a federal contract, prohibition triggers regardless of subjective knowledge. The two prongs create asymmetric exposure: new contracts require proven actual knowledge; ongoing performance use is per se prohibited.

The practical implication is that companies cannot credibly argue ignorance of a material supply chain dependency they could have discovered. Supply chain audit obligations will be shaped by what constitutes reasonable diligence in the industry — a standard that courts will eventually define.

Named Companies with Disclosed WuXi Relationships

The following companies have publicly disclosed material WuXi AppTec or WuXi Biologics relationships through SEC filings, earnings calls, or press releases. Large pharma with confirmed relationships include Eli Lilly (WuXi producing tirzepatide ingredients), GSK (WuXi Biologics licensing agreement valued at up to $1.5 billion), Merck (SEC filing describing "significant" R&D and production operations), Pfizer (Paxlovid supply chain), and Bristol Myers Squibb (disclosed BIOSECURE contingency planning).

Mid-cap and biotech firms with disclosed sole-source or material dependencies include Iovance Biotherapeutics (commercial manufacturing of Amtagvi through WuXi subsidiary), Kyverna Therapeutics (CAR-T candidate KYV-101), Viridian Therapeutics (sole-source WuXi Biologics drug substance, management explicitly warned of need to exit), iTeos Therapeutics (announced transition from WuXi to alternative manufacturers), Cabaletta Bio, Nuvalent, Zenas BioPharma, BioAge Labs, and Whitehawk Therapeutics ($44 million upfront licensing agreement with WuXi Biologics signed December 2024). A May 2024 BIO survey found 79% of 124 U.S. companies surveyed had at least one contract with a China-based or Chinese-owned CDMO.

Federal Grant Recipients: The Academic Exposure

Section 851(b) is explicit and broad: grant recipients may not use grant funds to procure BCC equipment or services, and this obligation flows to sub-recipients. Universities and research hospitals receiving NIH, DoD basic research, HHS, and other federal grants face direct compliance obligations once BCCs are designated. The BGI Group entities currently on the 1260H list provide low-cost genomic sequencing equipment widely used in academic research — meaning the academic exposure is not theoretical and will likely be the first to trigger once FAR revision completes.

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5. The FAR Revision Uncertainty — and Why a Third Clock Is Now Running

Neither the DoD 1260H track nor the OMB track produces any enforceable prohibition without FAR revision. The FAR Council has up to one year after OMB implementing guidance to revise the Federal Acquisition Regulation. No proposed FAR rule had been published as of October 2026. If agencies use the full statutory periods, prohibitions would take effect around August–September 2028.

This creates a compliance planning paradox. Companies must initiate CDMO transitions that take two to four years — meaning work must begin now — despite deep uncertainty about who will be designated, what services are covered, and whether the current administration will accelerate or delay implementation. The withdrawal of the February 2026 1260H list, and the June relisting three weeks after the Beijing summit, show that designation timing is not purely a legal or administrative question. It is also a geopolitical one.

The court's August ruling adds a second lesson. Within weeks of the June listing, with no prohibition in force, customers paused, cancelled or redirected programs and at least one supplier suspended shipments; the court accepted this as irreparable harm. Yet WuXi's aggregate revenue and U.S. share kept rising. The market has not decoupled from WuXi; individual customers are pricing designation risk into contracting decisions. For planning purposes, the trigger that matters is a listing or designation, not the FAR effective date.

Additional delay risks include limited OMB capacity (the office had about 500 staff against a target of roughly 675 as of mid-2026, with hiring slow), competing regulatory priorities in the 119th Congress, and the fundamental tension between BIOSECURE implementation and broader US-China trade diplomacy — now shaped by a run of leader-level meetings. Trump visited Beijing in May 2026, and Xi made a state visit to Washington on September 23–25. On September 28, China's Ministry of Commerce (MOFCOM) said the trade arrangements agreed at Kuala Lumpur and Busan in 2025, due to expire November 10, 2026, had been extended to January 10, 2027. Trump is due at the ASEAN summits in Manila (November 16–18) and at APEC in Shenzhen (November 18–19), and Xi at the G20 in Miami in December, the same month as OMB's deadline for its initial BCC list. The statutory deadlines are real; the political will to enforce them is not guaranteed.

A third clock started on April 2, 2026. President Trump signed Proclamation 11020 (91 FR 18183), imposing Section 232 duties of 100% on imported patented pharmaceuticals and their ingredients. The rate is 20% for companies with Commerce-approved onshoring plans (rising to 100% on April 2, 2030) and zero until January 20, 2029 for companies that also have MFN pricing agreements. Products of the EU, Japan, Korea, Switzerland and Liechtenstein pay 15%. Generics and U.S.-origin products are not covered, and Commerce's implementing notice (91 FR 60360, September 23, 2026) sets a zero rate for products used solely in clinical trials, research and development. The tariff clock is faster than either BIOSECURE track — duties applied from July 31, 2026 to companies listed in Annex III and from September 29, 2026 to all others (CBP CSMS #70054007) — but its pressure is narrower than its headline rate suggests. Large companies with MFN agreements pay nothing on covered imports through January 2029, so the pressure falls mainly on companies without such agreements that import patented products or ingredients made in China. It pursues the same supply chain restructuring outcome through a different legal instrument. The implication for WuXi is pointed: the Delaware facility it is building would produce finished drug products on US soil, potentially qualifying clients for tariff relief regardless of WuXi's BIOSECURE designation status. That dynamic cuts in two directions. It gives WuXi a commercial argument for its US capacity buildout that exists entirely outside the BIOSECURE framework. It also gives the administration a reason to want that facility operational, since onshored production serves the tariff policy's stated objectives whether or not WuXi is ever designated. The two regimes are now running in parallel. The tariff regime provides more

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immediate, but narrower, commercial pressure. The BIOSECURE regime provides the more durable structural threat.

A DoD-specific clock also started on June 30, 2026. Section 805 of the FY2024 NDAA (P.L. 118-31) bars DoD from contracting directly with 1260H-listed entities and entities they control from June 30, 2026, and from June 30, 2027 bars DoD from procuring goods or services that include goods or services produced or developed by a listed entity, with an exception for components. Section 805 is implemented through the DFARS, not the FAR, and as of June 2026 DoD had not begun that rulemaking. It runs independently of BIOSECURE: it needs no OMB determination and no FAR revision, and it covers only DoD procurement. For WuXi, the injunction currently prevents DoD from giving effect to the listing, including under Section 805. If DoD prevails or relists WuXi on a new record, DoD contractors would face a WuXi flow-down from June 30, 2027, about a year before BIOSECURE prohibitions are projected to take effect.

A second DoD restriction took effect the same day. Under 10 U.S.C. § 4663, added by Section 851 of the FY2025 NDAA, DoD may not contract with a company, or its parent or subsidiaries, that is party to a contract with a "covered lobbyist": any entity that engages in lobbying activities, as defined by the Lobbying Disclosure Act, for a 1260H-listed company. The restriction applies whatever the lobbyist is retained to do, although on most readings litigation work alone does not make a firm a covered lobbyist. A contractor that makes reasonable inquiries and concludes its advisers are not covered lobbyists is protected, and the Secretary may waive the restriction on notice to Congress. A DFARS class deviation issued June 29, 2026 reportedly defines "Chinese military company" more broadly than the 1260H list, extending to Treasury's NS-CMIC list, Chinese entities on the Commerce Entity List, and entities affiliated with the Chinese government or armed forces. The practical effect is to force law, lobbying and public affairs firms that also serve defense contractors to choose between those clients and listed Chinese companies, depriving listed firms of Washington advocacy when they most need it.

China's own rules now also bear on transitions. The State Council's Regulations on Outbound Investment (Order No. 837), in force since July 1, 2026, prohibit transferring restricted technology abroad without authorization, including by sending technical personnel or providing cross-border technical guidance or training (Article 13); establish a security review of transfers or disposals of overseas investments and related assets (Article 15); require approvals, where the law so provides, before evidence or materials are provided to foreign courts or investigators (Article 22); and authorize measures against foreign parties that impose discriminatory restrictions or cut off normal transactions with Chinese entities in violation of market principles (Articles 24–25). Our assessment is that the Regulations add friction rather than barriers. They may slow WuXi's staffing of Singapore and Delaware with China-trained teams, subject any future sale of non-China sites to review, and complicate the transfer of China-generated process data to a replacement CDMO. Article 25 gives Beijing a legal basis to respond if Western clients terminate en masse after a designation, though its use against individual pharmaceutical companies is untested.

Two U.S. outbound investment proposals also bear on client strategy, but neither is law. The Biotech Investment National Security Act (H.R. 9102, introduced June 2, 2026; S. 5316 in the Senate) would amend Section 809 of the Defense Production Act to add biotechnology to the outbound investment regime and treat licensing of covered technology from a covered foreign person as a covered transaction. Separately, Reuters reported on September 18, 2026 that Treasury is drafting rules on U.S. pharmaceutical investment in China that would likely preserve most licensing deals, restricting those involving pathogens or biotechnology that could be weaponized. The draft has not been published.

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What the Five-Year Grandfathering Actually Protects

Section 851(c)(3) provides a five-year wind-down for pre-existing contracts, including previously negotiated options, from the date the FAR is revised for a particular BCC. Based on a FAR revision of approximately mid-2028, grandfathering could extend existing contracts to approximately mid-2033. Most practitioners who have published detailed analyses read the provision as excluding entities already on the 1260H list at enactment (BGI, MGI, FGI) from the five-year safe harbor. Because WuXi was listed after enactment, its clients would receive the full five-year period on that reading. The question has not been resolved by regulation or litigation, and clients with existing WuXi contracts should not assume the five-year period is confirmed until implementing guidance clarifies the position.

6. The Designation Fight Is Now Being Litigated

No challenge to the BIOSECURE Act itself had been filed as of October 2026. The shift from naming specific companies to an executive-branch designation process substantially resolved the bill-of-attainder constitutional vulnerability. The remaining legal risk lies not in challenging the statute but in challenging specific designations under the Administrative Procedure Act.

The litigation reflects a change in what a listing means. Section 1260H, enacted in the FY2021 NDAA, began as a reporting requirement: DoD publishes an annual list of "Chinese military companies," the successor to a list mandated in 1999 that DoD did not publish until 2020. Congress has since made the list the trigger for DoD's procurement ban (Section 805 of the FY2024 NDAA), the lobbyist restriction (10 U.S.C. § 4663), comparable restrictions in DHS appropriations and certain Department of Energy programs, and one of the two routes to BIOSECURE designation. The more legal consequences a listing carries, the more closely courts examine DoD's evidence and procedure.

Precedent is instructive. Advanced Micro-Fabrication Equipment Inc. (AMEC) filed an APA challenge in D.D.C., leading DoD to rescind the Section 1260H designation (Case No. 1:24-cv-2357). Both Alibaba and Baidu issued statements rejecting their inclusion and signaling potential legal action. The notice-and-response rights built into the OMB track are explicitly designed to generate an administrative record sufficient to survive APA review — meaning litigation delay is a realistic, though not reliable, tool.

WuXi AppTec has now tested the APA route. It sued on June 11, 2026 (WuXi AppTec Co., Ltd. v. U.S. Dep't of Defense, No. 1:26-cv-02069 (D.D.C.)), and on August 7, 2026 Chief Judge James E. Boasberg granted a preliminary injunction barring DoD from enforcing, implementing, or otherwise giving effect to the listing while the case proceeds. The court found WuXi likely to succeed on its claim that the listing was arbitrary and capricious. DoD's state-ownership finding rested on a misreading: it treated the share of an AVIC fund's portfolio invested in WuXi (5.32%) as the share of WuXi owned by the fund; WuXi put the actual stake at about 0.001% of its equity. The SASTIND and PLA findings relied on records in which a WuXi entity appeared only as a third-party laboratory.

On irreparable harm, the court credited evidence that within weeks of the listing customers paused, cancelled or redirected programs and at least one supplier suspended shipments, and observed that a customer that moves its programs elsewhere is likely gone for good. It denied DoD's request for a stay pending appeal and set a $1 bond.

The ruling's limits matter as much as its holding. It is a preliminary injunction, not a merits judgment, and the court did not reach WuXi's other claims (that the listing was procedurally defective, violated

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due process, exceeded DoD′s statutory authority, and rested on an unconstitutionally vague statute), which remain open. It does not prevent DoD from relisting WuXi on a justification that accurately describes the evidence. It does not bind OMB, which is not a party and may designate WuXi under Section 851(f)(2)(B) on its own criteria. No appeal had been publicly reported as of October 14, 2026. For the OMB track, the case is a warning rather than a shield: OMB will build its record knowing how DoD′s failed.

WuXi is not alone. On August 18, 2026, the D.C. Circuit held in Hesai Technology Co. v. DoD that a 1260H listing, because it combines reputational harm with statutory exclusions, triggers Fifth Amendment due process: before finalizing a listing, DoD must give the company notice, the unclassified evidence it relies on, and an opportunity to respond. The court remanded Hesai′s listing without vacating it. Four days earlier, in SZ DJI Technology Co. v. DoD, the D.C. Circuit partly reversed a district court ruling for DoD, holding that one of DoD′s findings could not be upheld without examining the classified record behind it, while affirming DoD′s other findings. Together, the three rulings mean that DoD′s listings now face real evidentiary and procedural scrutiny.

Industry lobbying produced meaningful concessions in the enacted text — actual knowledge standard, removal of named companies, Medicare and Medicaid deeming provisions, expanded waivers. BIO reversed its opposition after the Gallagher DOJ investigation request. PhRMA engaged constructively. The post-enactment advocacy focus is now the OMB implementing guidance phase, where the definition of biotechnology equipment and services, the scope of the downstream contractor obligation, and the criteria for small-company or patient-access waivers will be shaped by comment-period submissions.

Forward-Looking Implications Horizon

Horizon	Near-term (2026)	Medium-term (2027–2028)	Long-term (2029+)
WuXi AppTec	U.S. revenue keeps growing (72% of continuing ops in 2025; 77% of H1 2026 revenue, per Bloomberg). 1260H listing (June) enjoined (August). No BCC designation. 2026 guidance raised to +35–39%. No public update on NEOM and Qatar MoUs.	OMB BCC list due Dec 2026. If designated, prohibition applies 90 days after FAR revision. Singapore API operations 2027; first TIDES plant 2028.	Delaware campus fully operational (injectables from Q4 2027). Non-China capacity could service compliance-sensitive clients without China-origin services if structured correctly.
Federal Contractors	No BIOSECURE prohibition in effect. Since June 30, 2026, 10 U.S.C. § 4663 also bars DoD contracts with firms that retain lobbyists for 1260H entities. Section 805 bars direct DoD contracts with 1260H entities from June	Section 805 flow-down for DoD contracts from June 30, 2027. FAR revision publishes (est. mid-2028). Contract compliance certifications required. Technology transfer timelines of 2–4 years mean work must begin	Grandfathered contracts expire (up to ~2033). Full prohibition applies to all new contracts. Non-compliant firms face suspension from federal procurement.

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	30, 2026 (enjoined as to WuXi). Compliance officers should audit supply chains and map WuXi exposure across all contract vehicles. Initiate transition planning.	now.	
Federal Grant Recipients	Section 851(b) enacted but not yet in effect. DoD's March 2026 decision matrix already bars DoD funds for fundamental research involving 1260H entities' collaboration or equipment. No grant funds may be used for BCC equipment/services once BCCs are designated. NIH, DoD, and HHS grants at risk.	Institutions relying on BGI/MGI genomic platforms (already on 1260H) face transition requirements as FAR is revised. Academic procurement policies must be updated.	Full prohibition on use of grant funds applies. Equipment purchased pre-FAR revision likely grandfathered; new purchases are not.
Alternative CDMOs	Samsung Biologics (180K additional liters online), Lonza (Roche U.S. site acquired), Indian CDMOs (Syngene Baltimore acquisition) absorbing redirected inquiries.	Capacity constraints persist — BIO estimated 8-year full transition. Premium pricing for non-China biologics manufacturing expected to remain elevated.	CDMO industry rebalances. U.S., EU, and Singapore capacity scales. Cost differential with China-based manufacturing narrows but does not close entirely.

Actionable Takeaways

Each of the following is a concrete action, not a general orientation. The underlying logic applies regardless of where in an organization these questions are being asked, or what the strategic goals of a given market participant may be.

01 Map your WuXi exposure now, across all contract vehicles

Conduct a supply chain audit covering prime contracts, subcontracts, and grant relationships. Identify every product or service where WuXi AppTec, WuXi Biologics, WuXi XDC, or affiliated entities appear in the manufacturing or analytical supply chain. This is not hypothetical — FAR revision timelines mean transitions must start before the prohibition is in effect. Map suppliers against the June 2026 1260H list now; Section 805's DoD flow-down begins June 30, 2027. Check, too, that your lobbyists and other advisers do not lobby for 1260H-listed companies: since June 30, 2026, retaining one can bar you from DoD contracts under 10 U.S.C. § 4663.

02 Distinguish your clock

If your WuXi exposure is through a federal prime contract, Section 851(a)(2)(A) applies. If it is through a DoD contract, Section 805 also applies, on an earlier timetable. If it is through federal grant funding, Section 851(b) applies. If it is through a purely commercial contract with no federal nexus, you are outside the BIOSECURE Act's scope, but not necessarily outside the Section 232 pharmaceutical tariff regime introduced on April 2, 2026, which applies to imported patented pharmaceuticals and their ingredients regardless of federal contract status, at rates that depend on your onshoring and MFN pricing commitments. The compliance obligations and timelines differ across all of these categories, and the tariff clock is moving faster than either BIOSECURE track.

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03 Do not rely on the five-year grandfathering without legal confirmation

The grandfathering interpretation is contested. The safe harbor is not confirmed for OMB-designated entities and, under the majority interpretation, does not apply to 1260H entities at all. Engage legal counsel on how the enacted text applies to your specific contracts before planning a 2033 wind-down. For WuXi, which was listed after enactment, the majority reading would give clients the full five-year period; confirm this with counsel before relying on it.

04 Engage the OMB implementing guidance process

The OMB guidance phase (due within 180 days of the OMB list, about mid-2027) and the FAR comment period are the most consequential remaining advocacy windows. The definition of "biotechnology equipment or service," the scope of downstream contractor obligations, and the waiver criteria will be shaped by industry comment. The companies that participate in that process are better positioned than those that wait for final rules.

05 Begin technology transfer planning regardless of WuXi's designation status

CDMO transitions for complex biologics require prior-approval supplements with the FDA and can take two to four years. BIO has estimated eight years for full industry transition. The prohibition effective date and the practical transition completion date are different problems. The former may be 2028; the latter must begin now to be achievable by then.

06 For investors: watch the OMB December 2026 list, not the 1260H list

The 1260H track has proved fragile in both directions: a February 2026 list was withdrawn within about an hour, and the June 2026 listing of WuXi was enjoined within two months on evidentiary grounds. The OMB December 2026 list is the more durable trigger — it follows a formal process with an administrative record that is harder to withdraw or overturn. If WuXi appears on that list, the compliance timeline becomes concrete and company-specific. Do not ignore the 1260H list, however: the June listing moved customers within weeks, before any court ruled.

Indicators to Watch

The following are the specific signals that will indicate whether the trajectory is shifting — and in which direction. These are operational intelligence triggers, not background monitoring items.

01 DoD response to the injunction

Whether DoD appeals the preliminary injunction (no appeal had been publicly reported as of October 14, 2026), litigates the merits, or relists WuXi on a new record. Any of these would revive the 1260H track and, for DoD contractors, Section 805. Watch also whether WuXi Biologics or WuXi XDC are added in a future update.

02 Section 232 onshoring plans and MFN agreements

Whether pharma companies with WuXi API exposure seek onshoring agreements that functionally accelerate BIOSECURE-compliant transitions — or conversely, whether WuXi's US facilities are treated as qualifying onshoring capacity, which would complicate the designation case. Duties now apply to all companies (from September 29, 2026); the signal is which companies obtain approved onshoring plans or MFN agreements.

03 Trump-Xi meetings at APEC (November) and the G20 (December 2026)

The May 2026 Beijing summit did not prevent WuXi's June listing, and the September state visit extended the trade arrangements to January 10, 2027 without, according to published readouts, addressing biotechnology. Trump will also attend the ASEAN summits in Manila (November 16–18) immediately before APEC. Watch whether the APEC meeting in Shenzhen or the G20 in Miami, which falls in the same month as OMB's December 18 deadline, produces understandings that delay or narrow the initial BCC list.

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04 WuXi AppTec Q3 2026 results

First-half 2026 revenue rose 38.9% and guidance was raised, but the half included only three weeks after the listing. Third-quarter results, the first full quarter since the listing, will show whether the customer departures cited in court are isolated or the start of broader attrition. A plateau in U.S. revenue growth would signal that client migration is accelerating ahead of prohibition.

05 OMB initial BCC list (December 18, 2026)

Whether WuXi entities are designated. This is the definitive trigger for OMB-track timelines and the clearest signal of implementation intent.

06 OMB implementing guidance (~mid-2027)

Whether the definition of "biotechnology equipment or service" is drawn narrowly or broadly, and whether transition safe harbors are created for patient-access drugs or small companies. This guidance is due within 180 days of the BCC list's publication: about mid-June 2027 if the list issues on its December 18 deadline.

07 Samsung Biologics and Lonza capacity announcements

Whether alternative CDMO capacity is sufficient to absorb WuXi-dependent product transitions. Capacity constraints are the primary argument for gradual implementation timelines.

08 Merits ruling and follow-on 1260H challenges

Whether the WuXi case proceeds to a merits ruling, and whether other companies added in June 2026 sue on similar grounds. A further ruling against DoD's evidence would raise the bar for any WuXi relisting and inform how OMB builds its own record. The D.C. Circuit's rulings in Hesai (due process) and DJI (review of classified evidence) have already raised that bar.

09 FAR proposed rule publication

The first FAR proposed rule implementing Section 851 will define the practical scope of contractor obligations, sub-tier supply chain coverage, and the mechanics of certification requirements. None had been published as of October 2026.

10 Section 805 DFARS rule (flow-down from June 30, 2027)

Whether DoD issues the DFARS rule implementing Section 805, and how it reads "include" for goods and services that contain a listed entity's inputs. This is the nearest hard date for DoD contractors.

11 Treasury biotech investment rules and the BINSA bills

Whether Treasury publishes rules on U.S. pharmaceutical investment in China, and whether they preserve licensing deals as Reuters reported; and whether H.R. 9102 or S. 5316 advances. Both are proposals, not law.

The BIOSECURE Act will be implemented. The question that will define the next decade of biopharma supply chain strategy is not whether firms survive the designation of WuXi AppTec but whether they used the window. The WuXi case shows that the decisive moment is not the FAR effective date but the listing: WuXi customers moved within weeks of a listing that carried no legal prohibition and that a court has since enjoined. It also shows the limits of decoupling: WuXi′s U.S. revenue kept rising, and Treasury is reportedly drafting rules that would preserve most licensing deals with China. Several regulatory clocks are now running at once — two BIOSECURE designation tracks, DoD′s Section 805 ban, and a tariff regime — all pointing at the same supply chain restructuring outcome through different legal instruments and on different timelines. WuXi′s Delaware facility will produce finished drug products on US soil regardless of its designation status. The firms that treat the current uncertainty as a reason to wait rather than a reason to act are already behind the planning horizon that a two-to-four year CDMO transition requires. The compliance gap will not announce itself. It will simply arrive.

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